CONTRACT MANAGEMENT

In Strategic Sourcing & Procurement

Real-World Cases · Key Clauses · Interactive Scenarios

MSc Supply Chain Management | Strategic Sourcing & Procurement | 40-Minute Session

Session Roadmap — 40 Minutes

5 min	10 min	15 min	10 min
Why Contracts Matter	3 Real-World Contracts & Key Clauses	Conflict Scenarios & Resolution	Quiz — Clause Impact Challenge

Learning Outcome: Understand how specific contract clauses protect buyers and sellers — and shape real outcomes.

Why Contracts Are the Foundation of Procurement

🛡️ Risk Allocation

Who bears the cost when something goes wrong? Contracts define who pays.

📌 Commitment Enforcement

Turns verbal promises into legally binding obligations with consequences.

💰 Financial Protection

Penalties, caps, and indemnity determine monetary exposure for both sides.

🤝 Relationship Clarity

Sets expectations on quality, delivery, communication, and escalation paths.

⚖️ Dispute Resolution

Provides the playbook for resolving disagreements without going to court.

📈 Performance Incentives

Bonus clauses reward suppliers who exceed targets — driving excellence.

Three Real-World Contract Cases

Case #	Buyer	Seller	Contract Type	Key Issue
Case 1	Retail Chain (Walmart-type)	Electronics Supplier (Taiwan)	Product Supply Agreement	Late delivery — holiday season
Case 2	Hospital Network (US)	Medical Equipment Manufacturer	Service & Maintenance Contract	Equipment failure, no response
Case 3	Food & Beverage Company	Agricultural Supplier	Commodity Supply Agreement	Price spike — raw materials

Each case features negotiated clauses and a real conflict resolved by those clauses. →

CASE 1 OF 3

Retail Chain ↔ Electronics Supplier

📦 Context: A large retail chain orders 500,000 units of smart TVs from a Taiwanese supplier, with agreed delivery 8 weeks before Black Friday. Value: $12M.

1

Delivery Schedule Clause

Supplier shall deliver all units no later than Oct 15. Each day of delay incurs a penalty of 0.5% of the total order value (capped at 10%).

2

Liquidated Damages (LD) Clause

Parties agree that damages from late delivery are difficult to quantify; LD of $60,000/day is pre-agreed and enforceable without proof of actual loss.

3

Force Majeure Clause

Neither party is liable for delays caused by events beyond reasonable control: natural disasters, pandemics, or port strikes. The supplier must notify within 48 hours.

4

Performance Bond

Supplier shall provide a bank guarantee of 5% of contract value ($600K) held by Buyer until full delivery is confirmed and inspected.

CASE 1 — RESOLUTION

🔥 Conflict: Delivery Arrives 12 Days Late

🚨 What Happened: The supplier's factory in Kaohsiung suffered a typhoon (Aug 30), halting production for 6 days. After recovery, a port congestion added 6 more days. Delivery occurred Oct 27 — 12 days late.

🏭 SELLER argues:

- Force Majeure covers the typhoon (6 days) → no LD owed for those days.
- Port congestion is beyond our control → another 6 days exempt.
- Total liability = $0.

🏪 BUYER argues:

- Typhoon = Force Majeure ✓ (6 days waived).
- Port congestion is NOT listed in the FM clause — supplier bears risk.
- LD owed for 6 days × $60,000 = $360,000.

⚖️ Outcome: Arbitration sided with Buyer. LD of $360,000 deducted from Performance Bond. Clause specificity on FM events saved the buyer $360K.

CASE 2 OF 3

Hospital Network ↔ Medical Equipment Manufacturer

🏥 Context: A 6-hospital network in Texas contracts with a German OEM for MRI machines (total: $8M). The contract includes installation, calibration, and 5-year maintenance.

1

Service Level Agreement (SLA)

Seller guarantees 99.5% uptime. Critical failures (MRI offline) require an on-site technician within 4 hours.

2

Penalty for SLA Breach

For each breach beyond a 4-hour response, Buyer is entitled to a $5,000/hour credit up to 20% of the annual maintenance fee.

3

Indemnity Clause

Seller indemnifies Buyer against any patient harm or legal claims arising from equipment malfunction during the warranty period.

4

Escalation & Termination Clause

Three SLA breaches within 12 months allow Buyer to terminate with a 30-day notice and claim a full refund of the remaining maintenance fee.

CASE 2 — RESOLUTION

🔥 Conflict: MRI Down 18 Hours — No Technician

🚨 What Happened: 2 MRI machines failed simultaneously at the Houston campus. Seller's technician arrives after 18 hours (not 4). 40 patients rescheduled; one patient's delayed scan missed a tumor at a critical stage. Buyer demands: credits + indemnity.

🏭 SELLER argues:

- Two simultaneous failures = exceptional event, not covered by SLA.
- Patient harm claim is separate from the equipment contract scope.
- SLA cap: owed only $5K × 14 hrs (beyond 4) = $70,000.

🏪 BUYER argues:

- SLA clause doesn't exclude simultaneous failures — penalty applies.
- Indemnity clause covers patient harm linked to equipment malfunction.
- This is the 2nd SLA breach → 1 more = contract termination.

⚖️ Outcome: Court upheld SLA penalty ($70K credit). Indemnity clause triggered legal defense of Buyer in malpractice suit — Seller paid $420K legal settlement. Clauses protected the Buyer on both fronts.

CASE 3 OF 3

Food & Beverage Co. ↔ Agricultural Supplier

🌾 Context: A major beverage company (think Nestlé-type) signs a 2-year commodity supply agreement with a Brazilian coffee bean supplier. Annual value: $6M. Fixed price per kg negotiated at contract start.

1

Fixed Price Clause

Price locked at $3.20/kg for contract duration. Neither party may unilaterally adjust pricing due to market fluctuation.

2

Price Escalation Clause

If global coffee index rises/falls >15% from the contract date, parties shall renegotiate within 30 days in good faith.

3

Take-or-Pay Clause

Buyer commits to purchase a minimum of 800 MT/year. If the buyer orders less, it still pays for the shortfall at $2.80/kg.

4

Incentive (Bonus) Clause

If Supplier delivers certified organic beans (Rainforest Alliance) at no extra cost, Buyer pays a 5% premium on the total order.

CASE 3 — RESOLUTION

🔥 Conflict: Coffee Price Surges 22% — Supplier Wants Out

🚨 What Happened: In Month 8, a severe drought in Brazil caused global coffee prices to spike 22% above the contract baseline. Supplier claims selling at $3.20/kg = $450K annual loss. Demands price renegotiation or exits contract. Buyer ordered only 600 MT in Year 1 (below 800 MT minimum).

🏭 SELLER argues:

- Price spike (22%) exceeds the 15% threshold → Escalation Clause triggered.
- Renegotiation obligation exists — Buyer must come to the table.
- Continuing at fixed price causes unjust enrichment for Buyer.

🏪 BUYER counter-argues:

- Escalation Clause only requires renegotiation in good faith — not agreement.
-
- Take-or-Pay: Buyer ordered 600 MT (shortfall: 200 MT × $2.80 = $560K owed by Buyer).
-
- Offer: use the $560K Take-or-Pay fee as an offset against the new adjusted price.

⚖️ Outcome: Negotiated settlement — price adjusted to $3.48/kg (+8.75%); Buyer's $560K Take-or-Pay offset applied. Both parties protected by pre-agreed mechanisms. Fixed price + escalation = balanced risk.

Clause Impact Framework — Who Benefits?

Clause Type	Primary Benefit	Penalizes	Incentivizes	Real Impact
Liquidated Damages	🏪 Buyer	Seller (late)	—	$360K recovered (Case 1)
Force Majeure	🏭 Seller	—	Seller relief	6 days waived (Case 1)
Performance Bond	🏪 Buyer	Seller default	—	$600K guarantee held
SLA + Response Time	🏪 Buyer	Seller breach	Seller compliance	$70K credit (Case 2)
Indemnity	🏪 Buyer	Seller for harm	—	$420K covered (Case 2)
Take-or-Pay	🏭 Seller	Buyer underorder	Buyer commitment	$560K claim (Case 3)
Price Escalation	⚖️ Both	Neither (triggers renegotiation)	Fair dealing	Price adjusted (Case 3)
Bonus/Incentive	🏭 Seller	—	Seller quality	5% premium earned

Clause Impact Challenge

4 Quick-Fire Scenarios | Who wins? Which clause? What's the financial impact?

Rules: Discuss with your neighbor for 90 seconds → vote → reveal answer

1. Think	2. Discuss	3. Vote	4. Reveal

QUIZ — Q1

Clause Impact Challenge — Q1

📋 **Scenario:**

A logistics supplier delivers medical supplies 5 days late. The buyer claims $25,000/day LD. The supplier argues actual loss was only $8,000/day and LD is a penalty, not compensation.

❓ **Which answer is correct?**

A) Supplier wins — LD must equal actual loss

B) Buyer wins — pre-agreed LD is enforceable without proving actual loss.

C) Split 50/50 — court averages both figures

D) Void — clause is unconscionable

💬 *Discuss for 90 seconds → click to reveal answer*

ANSWER — Q1

Answer: Option B ✅

📖 **Explanation:**

Liquidated Damages clauses are enforceable as long as they were a genuine pre-estimate of loss at contract signing. The buyer recovers $125,000 (5 × $25K) without proving actual loss.

Winner	Key Clause
🏪 **BUYER**	**Liquidated Damages**

💡 *Discussion: How could the losing party have negotiated this clause differently?*

QUIZ — Q2

Clause Impact Challenge — Q2

📋 **Scenario:**

A software buyer orders only 60% of the committed annual volume. The seller invokes the Take-or-Pay clause for the 40% shortfall at the contract rate of $50,000/month. Buyer claims market demand fell — not their fault.

❓ **Which answer is correct?**

A) Buyer wins — market decline is force majeure

B) Seller wins — Take-or-Pay is unconditional commitment

C) Seller wins only if they prove lost profit

D) Neither — contract must be renegotiated

💬 *Discuss for 90 seconds → click to reveal answer*

ANSWER — Q2

Answer: Option B ✅

📖 **Explanation:**

Take-or-Pay is an unconditional volume guarantee. Market demand decline is NOT force majeure (it's a business risk buyer accepted). Seller collects 40% × 12 months × $50K = $240,000.

Winner	Key Clause
🏭 **SELLER**	**Take-or-Pay**

💡 *Discussion: How could the losing party have negotiated this clause differently?*

QUIZ — Q3

Clause Impact Challenge — Q3

📋 **Scenario:**

Supplier's factory floods (declared natural disaster). They invoke Force Majeure for a 45-day delay. However, the contract's FM clause lists only 'typhoons, earthquakes, and wars.' Buyer wants full LD applied.

❓ **Which answer is correct?**

A) Seller wins — floods are clearly natural disasters

B) Buyer wins — FM clause lists specific events; floods not included

C) Both share the loss 50/50

D) Depends on the governing law of the contract

💬 *Discuss for 90 seconds → click to reveal answer*

ANSWER — Q3

Answer: Option B ✅

📖 **Explanation:**

When FM clauses use exhaustive lists (not 'including but not limited to'), only listed events qualify. Floods are NOT listed → Buyer's LD claim holds. Lesson: FM clause wording is critical. Buyer collects full LD.

Winner	Key Clause
🏪 **BUYER**	**Force Majeure (Specificity)**

💡 *Discussion: How could the losing party have negotiated this clause differently?*

QUIZ — Q4

Clause Impact Challenge — Q4

📋 **Scenario:**

A supplier delivers all quantities on time and achieves 99.8% quality pass rate (target: 98%). The contract has an incentive clause: 3% bonus on order value for every full 1% above the 98% target. Order value: $2M.

❓ **Which answer is correct?**

A) No bonus — 99.8% does not complete a full 1% above target

B) Bonus of $60,000 — for 1 full percentage point achieved (98% → 99%)

C) Bonus of $120,000 — for all 1.8% above target

D) Bonus decided by buyer discretion

💬 *Discuss for 90 seconds → click to reveal answer*

ANSWER — Q4

Answer: Option B ✅

📖 **Explanation:**

The clause pays per full 1% increment. 99.8% = 1 full point above 98% → bonus = 3% × $2M = $60,000. The 0.8% is not a full increment. Clause design matters — 'every full 1%' is unambiguous.

Winner	Key Clause
🏭 **SELLER (earns incentive)**	**Incentive / Bonus Clause**

💡 *Discussion: How could the losing party have negotiated this clause differently?*

Key Takeaways for Contract Management

✍️ Specificity is Power

Vague clauses favor no one. Precise language (exact events, deadlines, $amounts) determines outcomes.

⚖️ Balance Risk Allocation

Every clause shifts risk. Procurement teams must negotiate clauses that reflect actual risk exposure.

💰 Penalties & Incentives Both Work

LD clauses punish underperformance. Bonus clauses reward excellence. Use both to shape supplier behavior.

📋 FM Clauses Need Careful Lists

Exhaustive vs. illustrative FM lists produce completely different outcomes. Know which one you're signing.

🔄 Build Flexibility In

Price escalation and renegotiation clauses keep long-term contracts viable when markets shift.

🔍 Read Every Clause

As a procurement professional, you are legally bound by every word. Know what you signed before you sign.

“A contract is only as strong as the clauses you negotiated before you needed them.”

— Contract Management Principle

Any questions? Open floor for discussion.